Rowan Companies

In December 2006 and into May 2007, Rowan Companies (RDC) formed a cup with handle that also looked like a double bottom. I had a buy stop placed 2 cents above the top of the handle. The day it broke out was the day I bought.

From my notebook: “Buy reason: cup with handle/rounding turn in hot industry. Every chart pattern is a sell [did I mean *buy*?] signal, and so I'm going to take this one. The upside will be 44, so I stand to make $5 per share on the trade if all works as planned. Downside is stopped out at the volatility stop setting of 35.45. Yuck. At an entry price of 39.11, downside is 12% and that's too far. Let's keep the stop loss at 10% so that would make the stop 35.20. Upside is 13%. Not a large ratio… Yesterday I didn't feel good about this trade so I called it off. Today, I'm looking to buy something in a hot industry. Sounds like this trade is going to be a dud…”

The stock climbed a wall of worry in a series of steps. Perhaps it was me worrying. Six weeks later, I wrote this: “Sell reason: Yesterday I noticed that many stocks in the industry and the other oil industries had topped out and were heading down. I did a survey and found that 11 of 14 in the oil field, 9 of 10 in the integrated petroleum field, and 6 out of 6 in the producing field were trending down. That's 26 out of 30. I can't expect Rowan to buck against such a trend. It's time to take my gain and exit as best I can.”

I made 6% on the trade, about half of what I expected. If I wasn't frightened out of the stock and held on until it peaked, it would have reached my 44 target and kept going up to 46.16. If I sold at the peak, I would have made 18%. But selling at the peak would have represented a perfect trade.

- Lesson: Not all cups with handles see big gains (median rise is 34%).
- Lesson: This trade would have benefited (slightly) by using a trailing stop placed a penny below the prior day's low.

I was proactive in this trade by looking at other stocks in this industry and similar industries but that turned out to be a mistake. It forced me out of the trade almost a month too soon.